



3.6 Managing Change

Contents

- * Causes & Effects of Change
- * Key Factors in Change
- * Scenario Planning



Causes of change

- Businesses operate in a **continuously changing business environment**:
 - Changing **internal** factors such as business **growth**, new business **ownership** or internal **restructuring**
 - Changing **external** factors, such as changes to the **market** or **technological** advancements
- Whilst **consistency** or a lack of change might be easy options, most businesses will find it difficult to maintain a **competitive edge** without planning for and responding to change

Internal causes of change

Cause	Explanation
A change in business size	▪ Businesses are likely to grow organically as they sell more products ▪ They may create or expand functional areas, open new premises or introduce new levels of supervision ▪ An increase in size may also come about when a firm merges or takes over another business ▪ Workforces, resources and capital will need to be integrated, and systems will likely need to be streamlined ▪ A business may also become smaller as a result of divestment or as a result of market pressures ▪ Redundancies and the sale of assets may be required, or workers may need to transfer to other parts of the business
Poor performance	▪ A period of poor performance may mean that a business makes changes to its leadership team in order to pursue a new direction ▪ E.g. after a run of 11 defeats in 14 games, Frank Lampard was sacked as the manager of Everton Football Club in early 2023. The team went on to win its next game against league leaders Arsenal ▪ Change following poor performance needs to be swift to avoid problems setting in, such as the potential loss of customers and reputational damage



Your notes

New ownership	▪ A change in ownership can bring significant change to the overall aim and objectives of the business ▪ A new owner is likely to bring about new policies, attempt to make changes to a business's culture and bring key personnel to implement these changes
Transformational leadership	▪ In some cases, change can only be brought about by a transformational leader with a new strategic direction and vision for the business ▪ Extensive changes are likely to be made to the business's aims, objectives, structure and culture
Business restructuring	▪ Changes to the structure of a business may be required as a result of an expansion or contraction of the business ▪ A restructure may also be needed when a business enters a new market, changes its scope of operations or integrates with another business ▪ E.g. as Frasers Group plc has taken over a string of struggling high street brands such as Debenhams and Missguided, significant changes have been made to the managerial and operational structures of the business to reduce functional duplications and costs

- External change **happens all the time**, and in many cases, **businesses can make plans** to respond if they keep a close eye on **PESTLE** factors (see [subtopic 3.1.4](#))

External causes of change

Cause	Explanation
Changes in the market	▪ A new competitor may enter the market, or existing competitors may change their strategy ▪ E.g. in the UK, established supermarkets such as Tesco and Sainsbury have responded to new discount entrants Aldi and Lidl by focusing on lowering prices and opening smaller stores
Social change	▪ Long-term changes to consumption habits as a result of social change can require a business to refocus its business strategy ▪ E.g. as the UK has an increasingly diverse population, food retailers now sell a wide range of foods from around the world and related products



Your notes

Political change	■ Periodic change in political leadership can require both short-term and longer-term business responses ■ E.g. the Conservative Party's 2015 election pledge to hold a referendum on the UK's membership of the EU has had a significant impact on business, especially for those involved in the import and export of goods to and from the EU
Economic change	■ Economic growth or contraction can impact the demand for goods and services and can be difficult to predict ■ E.g. poor UK growth in recent years, combined with more recent high inflation, has squeezed households' disposable income and led to significant changes in consumers' purchasing priorities
Technological change	■ Technological change has been particularly rapid over the last few decades, creating significant opportunities but also a need for businesses to adapt ■ E.g. the growth in online retailing has allowed even the smallest of businesses to reach a larger number of customers, though traditional high street retailers have needed to adapt their supply chains and invest significantly in logistics to be able to meet demand
Legal change	■ Changes to the laws affecting businesses often accompany political change and require adaptation and compliance ■ E.g. the 2007 law banning smoking in indoor public spaces meant that many hospitality businesses, such as pubs and restaurants, were required to make adaptations to their premises, such as constructing all-weather outdoor facilities
Environmental change	■ Environmental change is increasingly associated with political change and subsequent changes to the law ■ In recent years, numerous environmental issues have emerged, and increasingly, consumers expect businesses to respond to their concerns, even if they are short-lived ■ E.g. in response to environmental concerns about the impact of single-use plastics, the UK government introduced the "bag tax" in 2015, leading to a 97% reduction in their use and the development of a wide range of innovative alternatives, such as the corn starch bags provided by The Cooperative Group to shoppers

Possible effects of change



- Change can have **significant effects on the business** in the following areas:
 - Competitiveness
 - Productivity
 - Financial performance
 - Stakeholders

Competitiveness

- Change as a result of some internal factors (e.g. following poor performance or the arrival of a new leader) can **be rapid** and can lead to **swift improvements** in competitiveness
- Change as a result of external factors is **more likely to be gradual** and involve a business carefully selecting and pursuing an appropriate **long-term competitive strategy** (see Porter, [subtopic 3.1.2](#))
- Research suggests that change has an overall **positive effect on business competitiveness** when it brings management and engaged employees together and their efforts are coordinated

Productivity

- In the short term, **as change is being implemented** and employees get used to new processes, surroundings, leadership or a new product, **productivity is likely to be reduced**
- **Once changes are embedded**, productivity is likely to return to earlier levels and possibly **improve**, especially if **new technology** is part of the change
- During periods of **external change**, businesses may endure a period of **unstable levels of productivity** and must take steps to manage **capacity utilisation** and **unit costs**

Financial performance

- In the short term, the **implementation of change** can be very **expensive** for several reasons:
 - An organisational **restructure** may involve significant redundancy payments as well as recruitment and training costs
 - **Market research** and **product development** require **investment**
 - Attracting **transformational leadership** to key roles will require attractive **salaries** to be offered
 - **Public relations** and **promotional activity** may be needed, especially where change is implemented as a result of poor performance
 - New **strategies** are likely to involve **capital expenditure**
- In the longer term, financial performance is likely to improve as change becomes the **new way of working** and as **teething problems** are overcome

Stakeholders



Your notes

- Change can have **predictable** as well as **less obvious** impacts on the range of stakeholders
- Some changes, such as **seasonal fluctuations** or **cyclical economic factors**, can often be **planned for** and their impacts on stakeholders considered in advance
 - E.g. increased orders for barbecue products are very likely to be placed during the warmer summer months, so a supermarket will be able to liaise with **suppliers** ahead of time
 - A sudden "cold snap", on the other hand, is likely to be difficult for many fashion retailers, as they operate on a seasonal basis — **customers** may well be disappointed if they are unable to source warm clothing
- Significant **long-term change** is likely to involve a **wide range of stakeholders** at some level
 - E.g. following its takeover by Frasers Group plc, Debenhams stores were closed, and the brand moved online
 - This had far-reaching impacts on Debenhams' product range, organisational structure and supply chain
 - Thousands of **employees** were made redundant, rapid changes were made to the **management** structure, existing **supply** agreements were cancelled and new suppliers were appointed
 - Local **councils** were faced with large empty premises in prominent high street locations, impacting the retail environment in their towns, as well as reducing income from business rates



Examiner Tips and Tricks

The concept of change is rarely examined as a topic in its own right, yet understanding its implications and how businesses and their stakeholders plan and respond to change is vital.

Some of the following questions may be useful when considering changing external factors or strategic change coming from within the business:

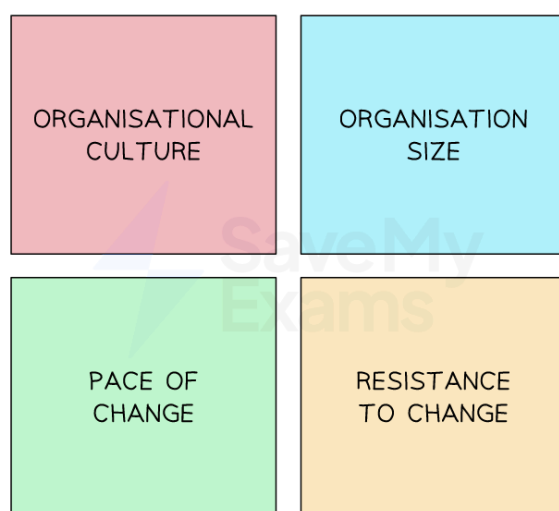
- Does the change pose a threat or present an opportunity to the business?
- What can the business do to manage the threat or exploit the opportunity?
- How can competitive advantage be retained or created as a result of change?
- How are stakeholders likely to respond to the change?
- How may the problems change causes stakeholders be mitigated?



An introduction to change management

- Effective **change management** involves identifying, organising and implementing new methods of working in a business
- Several factors will have an impact on **how a successful change can be implemented**

Factors affecting business change



Copyright © Save My Exams. All Rights Reserved

Factors affecting business change include organisational culture and size, the pace of change and the level of resistance to change

Organisational culture

- To successfully implement change, leaders must understand the **culture** of their organisation and **work to align it with the desired change**
- The way **employees and leaders perceive change** and their willingness to embrace it can be heavily influenced by the organisational culture within a business
 - If the culture is one of routine and predictability, employees may be hesitant to embrace new processes and procedures
 - An innovative and flexible culture may mean that employees are more receptive to change
- How effectively **change is communicated** to employees is related to a business's culture



- In an open culture, communication channels are more likely to be clear, frequent and effective
- In a **hierarchical** culture, communication may be limited, and information may not be easily accessible to all employees
- A **strong organisational culture** can support employee engagement and ownership of change
 - When employees feel valued and are part of a supportive culture, they are more likely to embrace change and work together to implement it successfully
- Organisational culture can affect the **adaptability of a business**
 - A culture that values continuous learning and improvement is more likely to adapt quickly to changes in the external environment
 - A culture that is resistant to change may struggle to adapt to new circumstances

Size of the organisation

- The size of a business can affect its ability to implement change
 - Larger organisations usually have **complex structures**, which can make change more difficult to implement
 - Communication is often more challenging due to the sheer **number of people involved**
- The larger the organisation, the **more difficult it can be to communicate change** effectively and ensure that everyone is on the same page
 - Larger organisations may have complex decision-making processes that can slow down the implementation of change
 - With more layers of **hierarchy**, there may be more people involved in decision-making, which can **lead to delays**
 - There may be many people who are resistant to change, and it can be more difficult to address their various concerns
- Larger businesses often have **more resources available to support change** initiatives, such as financial resources, technology and **experienced staff**

Pace of change

- It's important to find a pace for change that is **appropriate for the situation** and which takes into account the needs and concerns of all **stakeholders** involved
- If the pace of change is **too fast**:
 - It can create resistance from overwhelmed workers who feel unprepared and that they don't have enough time to adjust
 - It may **not be properly thought through** or planned, resulting in poor execution
 - The change may be difficult to communicate effectively to all stakeholders, leading to misunderstandings and confusion



- If the **pace of change is too slow**, it can result in:
 - A lack of adaptability and **innovation**
 - A loss of momentum, leading to delays or even the abandonment of the change
 - Communication efforts becoming stagnant, leading to disinterest and disengagement

Resistance to change

- Businesses attempting to implement change are likely to face **resistance** from a range of **stakeholders**

Stakeholder resistance to change

Stakeholder	Reasons for resistance
Employees	■ Employees may worry about how the change will affect their job security or work environment ■ Employees may not understand why the change is needed or what the expected outcomes are ■ Employees may be used to doing things a certain way and may be reluctant to learn new skills
Owners	■ Owners may fear that changing their current processes may cause disruption to their daily operations and affect productivity ■ Owners may be reluctant to agree to these costs, especially if they involve a personal, financial or time commitment ■ They may prefer to maintain the status quo rather than take risks that could potentially harm their business ■ They may not fully understand the benefits of the proposed changes or lack the knowledge or expertise to implement them effectively
Customers	■ Customers may be hesitant to try something new or unfamiliar ■ Changing to something new can be uncomfortable or even intimidating ■ Customers may fear losing something they value ■ For example, if a new product or service replaces an existing one, customers may worry that the new one won't be as good as the old one or that they will lose features they like ■ Sometimes, customers may simply be used to buying certain products or accessing a service in a particular way and don't want to make the effort to change



Your notes

Suppliers	- Suppliers may be reluctant to change their processes or systems - They may be worried that the change will lead to a decrease in quality or additional costs - They may have invested a significant amount of time, money and resources in their current systems so are hesitant to abandon them - Suppliers may not have the necessary expertise or knowledge to implement new systems or processes
------------------	--

Managing resistance to change

- Managing resistance to change requires a thoughtful and **strategic approach** that takes into account the concerns of key **stakeholders**
- Clear communication is **essential** when introducing change in a business:
 - The reasons behind the change and the **benefits that the change will bring** must be communicated
 - The change must be communicated in **multiple ways**, such as emails, meetings, presentations and one-on-one conversations
- Involving stakeholders** in the change process can help to build buy-in and support for the change
 - Employees who are involved in the process are more likely to embrace the change and feel a sense of ownership over it
 - Open dialogue and feedback throughout the process with all key **stakeholders** is essential
- Providing **training and support** will help employees adapt to the new changes and learn new skills and technologies
- Identifying and **addressing stakeholder concerns** is vital
- Realistic expectations** about the change should be set
- Successes and milestones should be **celebrated along the way**



Examiner Tips and Tricks

Try to consider the following when answering questions about organisational change:

- What is driving the need for change? Internal factors? External factors?
- How is the change to be implemented?
- What outcome is expected or hoped for as a result of the change?
- Which factors will have the greatest impact on the success of the change?

All of these questions should be answered with **explicit reference to the scenario provided**. Every organisation approaches, implements and experiences change in different ways as a result of the unique set of influencing factors it faces.



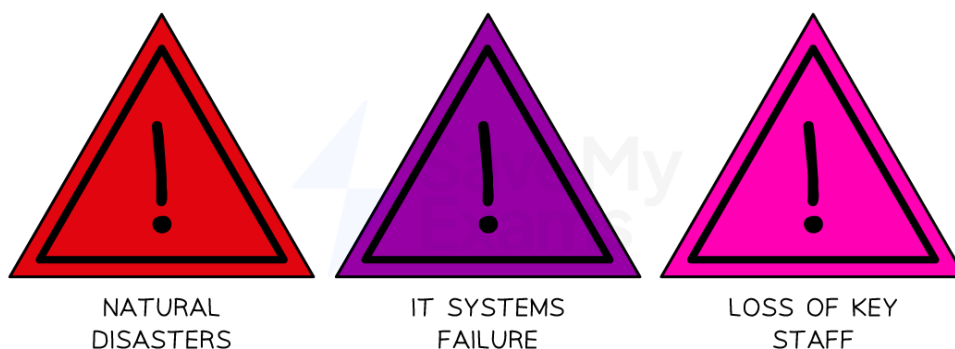
Your notes



Using risk assessment to identify risks

- **Scenario planning** is the process of anticipating possible changes in a business's situation and devising ways of dealing with them
- This risk assessment is where a business **identifies, evaluates and prioritises risks** and the **precautions** that may be taken to **protect** against them

Common hazards in risk assessment



Copyright © Save My Exams. All Rights Reserved

Hazards commonly covered by business risk assessments include natural disasters, IT systems failures and loss of key staff

Natural disasters

- Natural disasters are often **unpredictable**, but their impact can be so **devastating to business** operations that they are a common element of risk assessments
 - Identify the **types of natural disasters** that could be expected to occur in a particular area
 - Assess the potential **extent** of the impact of a natural disaster on the business and its assets
 - Estimate the likelihood of a natural disaster occurring and the potential **magnitude** of its impact
 - Identify and implement **measures to reduce the risk** (e.g. evacuation plans)
- For example, 2022's Storm Eunice caused significant disruption to transport networks and damage to commercial property across England and was followed by a period of flooding that closed hundreds of businesses

IT systems failures

- Information technology systems are **used extensively** by most businesses, and an IT system failure can have a devastating effect on a business's ability to carry on **operating normally**



Your notes

- Business IT systems are at risk for a variety of reasons, such as:
 - Malware (e.g. viruses) can **infect a business's IT system** and cause significant damage, including the loss of data and system downtime, causing financial losses
 - Phishing involves **cybercriminals tricking employees** into giving away sensitive information, such as login or financial details
 - A **data breach** occurs when sensitive or confidential data is lost due to a cyberattack, human error or negligence
 - Downtime is when a system or application is unavailable as a result of **hardware or software failures**, power outages, or cyberattacks
- Insider threats come **from within an organisation** and can include:
 - Employees who intentionally or unintentionally cause **harm to the business's IT systems**
 - Stealing sensitive information or causing a **system outage**
 - **Employees who are not adequately trained** or aware of cybersecurity best practices can pose a significant risk to the security and integrity of a business's IT systems

Loss of key staff

- Losing key members of staff can cause difficulties, especially if the loss is unplanned (e.g. as a result of sudden illness or incapacity)
- Loss of experience and knowledge can impact a business's **competitive edge**
- Losing a **figurehead** or influencer can affect the **morale** of remaining employees as well as the culture and direction of the business
- Business contacts and **relationships with customers** and suppliers may be lost



Examiner Tips and Tricks

As well as carrying out detailed risk assessments, many businesses also plan for those uncertain events that can bring opportunities in a wider exercise known as **scenario planning**.

These businesses are in a good position to respond swiftly to external factors that operate in their favour, as they have weighed up the various options in advance.

Planning for risk mitigation

- Risk mitigation plans **identify and assess risks** and then **prioritise and plan responses** to those risks
- Two key elements of risk assessment plans are **business continuity plans** and **succession plans**

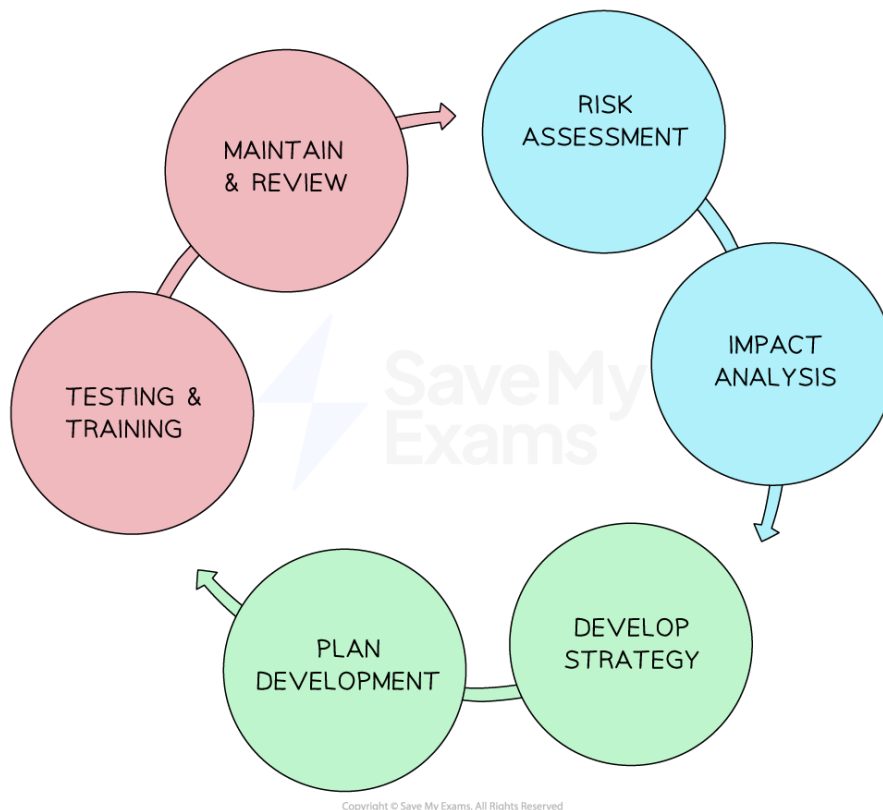
Business continuity plan



Your notes

- A business continuity plan sets out **how a business will operate following a serious incident** or disaster and **how it expects to return to normal** as soon as possible
- While the **specific stages may vary** depending on the business's size and specific circumstances, there are some common stages that are typically included in a business continuity plan

Stages in a business continuity plan



The business continuity planning process

1. Risk assessment

Involves identifying potential risks that could **disrupt** business operations

- This may include natural disasters, cyberattacks, supply chain disruptions and other events that could impact the business

2. Impact analysis

Is the assessment of the potential impact of these events on the business

- This may involve **identifying critical business functions** and determining the potential **financial and operational impact** of disruptions

3. Strategy development

Formulates the **approaches to be taken** to respond to disruption



- This may include measures such as implementing backup systems, developing communication plans and identifying alternate work locations

4. Plan development

Outlines the **specific steps that will be taken** in the event of a disruption

- This may include detailed procedures for handling different types of disruptions, as well as guidelines for communication and decision-making

5. Testing and training

Ensures that the plan is effective and that all **stakeholders understand their roles** and responsibilities

- This may involve conducting drills and simulations, as well as providing training to employees and other stakeholders

6. Maintenance and review

Involves the **regular review and updating of the plan** to ensure that it remains **relevant** and **effective**

- This may involve reviewing and updating the risk assessment, revising procedures and guidelines, and ensuring that stakeholders are aware of any changes

Succession planning

- Succession planning involves **identifying and developing current employees** who have the potential to **move into key roles** in the future
- It is often used to prepare for the eventual **retirement**, death or departure of a senior executive and ensure the **smooth transition** of the business to the next generation of leadership
- While the **process may vary** depending on the specific circumstances of a business, there are some key elements of succession planning

Elements of succession planning

Element	Explanation
Identify potential successors	■ Businesses may look at family members, key employees or outside candidates to develop a pool of potential candidates ■ This may involve assessing the candidates' skills, experience and commitment to the business and comparing these to the desired characteristics
Develop a plan	■ Once potential successors have been identified, a plan to prepare for the transfer of leadership is developed ■ This may involve amending the organisational structure of the business or establishing a management team to run the business during the interim period



Your notes

Train and mentor	▪ Potential successors need to have the skills and knowledge needed to take over the business ▪ This may involve providing education, coaching and on-the-job training
Communicate with stakeholders	▪ All stakeholders need to be informed of the plan, including employees, customers, suppliers and investors ▪ This can help to build trust and ensure a smooth transition
Review and update the plan	▪ This should be done regularly to ensure the plan remains relevant and effective as the business evolves over time

- Successful business succession planning can help to ensure the **long-term viability** of a business while also providing **peace of mind** to key leaders or employees as they plan for their departure from the business